Weekly Insights | Jan 08, 2026

Executive Summary

Corn – Export Flow Holds the Front End Together Ahead of the Jan 12 Data Dump

March corn settled at $4.45/bu, up 5¢ w/w, with the Mar/May spread at +7¢ carry (about 50 percent of full carry), keeping structure relatively supported even with the market leaning into a “big January” USDA event. Gulf export channels remain the clearest near-term anchor: CIF Gulf corn bids were +81¢ over March and FOB Gulf offers were +106¢ over March as of Jan 1, while weekly export inspections printed 1.21 MMT (week ended Jan 1), taking 2025/26 cumulative exports to 885.5 mbu (+69 percent y/y). The export program is also still showing up in USDA flashes, including a 150,000 MT corn sale to Mexico (Jan 6), another reminder that the market is sensitive to any January *WASDE* change that either validates (or pushes back on) the current “export upgrade / yield trim” bias.

Wheat – Heavy Fund Shorts vs. a Seedings/Stocks Catalyst

March SRW wheat settled at $5.20/bu, up 14¢ w/w, while the Mar/May spread stayed near **11¢ of carry** (about 40 percent of full carry), still consistent with a market searching for direction rather than pricing tightness. Export execution remains mixed: weekly wheat inspections were 183k MT (week ended Jan 1, –27 percent w/w), but season-to-date shipments reached 15.263 MMT (+6 percent y/y), good enough to keep “exports may be revised up” in play for January, especially if USDA leans into the recent competitiveness narrative. Positioning is the other piece: spec funds remain meaningfully short (–71,000 CBOT wheat net) (week ended Dec 30, futures-only series referenced), which keeps the market vulnerable to sharp, fast rallies if Jan 12 surprises lean bullish (seedings lower, exports higher, or stocks tighter).

Soybeans – USDA Flash Sales to China Surface, but the Export Pace Problem Isn’t Solved Yet

March soybeans settled at $10.67/bu, up 5¢ w/w, with the Mar/May spread at 11¢ carry (50 percent carry). The curve is doing something slightly different further out, with Jul ’26/Nov ’26 at a +12¢ inverse, hinting that the market still wants to keep some risk premium in the new-crop window even as South America harvest pressure approaches. Cash/export indicators were steady: CIF NOLA soybean bids were +100¢ over Jan and FOB Gulf offers were +102¢ over Jan (as of Jan 1). Demand signals are split: USDA daily sales flashes included 336,000 MT to China (Jan 2) plus earlier China flashes (136,000 MT on Dec 30; 100,000 MT on Dec 29), but shipments remain the constraint, weekly soybean inspections were 0.98 MMT (week ended Jan 1) and 2025/26 cumulative inspections are 603 mbu (–45 percent y/y),

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keeping January WASDE risk skewed toward an export haircut unless USDA offsets with crush.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Dollar Slightly Firmer, BRL Stronger; Energy Quiet

Into Jan 12 Cross-market signals stayed mostly "background noise" this week. DXY traded around 98.6 (Mar), up 0.5 percent w/w, while USD/BRL fell to 5.37 (about a 1 percent real appreciation w/w), a marginal shift that can slow Brazilian farmer selling at the margin, but not enough (by itself) to reprice export competitiveness. Energy remains range-bound: WTI Feb near $56/bbl, down about $1 w/w, which keeps biofuel economics stable rather than forcing a new demand narrative into corn/soyoil. Net: macro is not doing the heavy lifting right now; it's mostly clearing the lane for Jan 12 fundamentals and South American weather to drive price discovery.

Weather – Warm/Dry US Pattern; Argentina Dryness vs Brazil's Generally Favorable Setup

In the US, NOAA's 6–10 day (Jan 12–16) calls for much above-normal temperatures across most of the Plains/Midwest, while precipitation probabilities are broadly below normal across the primary grain belt. The 8–14 day (Jan 14–20) maintains that warm/dry bias, which reduces winterkill risk but keeps attention on HRW moisture recharge in the southern Plains and keeps river ice risk muted for logistics. In South America, the market is increasingly treating January as a two-speed story: Brazil's core areas are largely in good shape (with some regions even flirting with "too wet" issues into early harvest logistics), while Argentina is the standout risk, forecast models and reporting highlight a very dry mid-January window that can start translating into measurable soybean/corn yield risk if it persists through pod-setting.

What's Next (Jan 08 – Jan 15):

USDA January Reports: Focus on whether Crop Production and Grain Stocks *force WASDE* adjustments rather than headline balance-sheet changes; reaction will hinge on implied feed/residual and seedings signals.

Soybean Exports: Track whether recent China buying translates into sustained weekly sales and inspections; without follow-through, USDA is likely to defend exports cautiously or lean more on crush.

Wheat Seedings & Stocks: Winter wheat acreage and Dec 1 stocks are the primary catalysts; with funds short, even modest surprises could trigger sharp but potentially short-lived moves.

Argentina Weather: Mid-January rainfall remains the swing variable; persistent heat/dryness in the core belt would reprice soy and meal risk quickly, while stabilization caps upside.

Gulf Basis & Logistics: Replacement values and barge availability will show up first in CIF and nearby spreads as post-holiday trade normalizes.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	12/30/2025 Close	01/07/2026 Close	Change (Δ)	Δ%	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	$4.40	$4.45	+$0.05	+1.14%	13% (ann.)	+6k (est.)
Soybeans (Mar '26)	$10.62	$10.67	+$0.05	+0.47%	12% (ann.)	+6k (est.)
Wheat (Mar '26)	$5.06	$5.20	+$0.14	+2.77%	20% (ann.)	+2k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	12/30/2025 Quote	01/07/2026 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Mar–May	-0.08$	-0.07$	+0.01	50%	Nearby timing firming vs. forward carry
Soy Mar–May	-0.12$	-0.11$	+0.01	50%	Crush pull holding January, tightening the front-end
Wheat Mar–May	-0.11$	-0.11$	-0.00	40%	Storage-led; heavy global stocks rewarding carry

Assumes 7% annual interest + $0.05/bu/month storage/insurance. Full carry (2 months) ≈ $0.22–$0.23 for corn & SRW wheat; (3 months) ≈ $0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	12/30/2025 USD Price	01/07/2026 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,400($6.80/bu)	¥2,400 ($6.80/bu)	+0.0%	Steady on local supply debate; limited momentum
Dalian Soymeal (Jan)	¥3,570($492/mt)	¥3,580 ($494/mt)	+0.3%	Firm on livestock feed demand; meal driving margins
B3 (São Paulo) Corn (Jan)	R$67.5 ($12.15)	R$68 ($12.20)	+0.4%	Slightly firmer; southern dryness offset by Center-West rains
Euronext Wheat (Mar)	€192 ($5.18/bu)	€191.5 ($5.16/bu)	+0.9%	Higher on supply concerns; bids firmer amid Black Sea competition

Corn Market Deep Dive

Pre-*WASDE* Positioning: Trade talk continues to center on whether final Crop Production trims USDA's current 2025 yield (186 bpa) and whether strong export execution gives USDA room to keep the balance sheet tighter via higher exports. The market's bias has leaned toward "modest tightening" (yield risk + export-friendly math), but without a verified Reuters poll table in hand, the clean anchor remains execution data, inspections, Gulf values, and whether the next weekly Export Sales report (week ended Jan 1) shows meaningful catch-up post-holidays.

Futures & Spreads: March corn settled at $4.45/bu (+5¢ w/w) and continues to trade like a market that isn't short nearby ownership, even without a headline catalyst. Calendar structure is still carrying, but not "max carry": the Mar/May spread is 7¢ carry (about 50 percent of full carry), keeping the curve's message closer to steady demand underneath than burdensome supply. Technically, the market is hovering around the 200-day moving average near $4.45, which traders have treated as an important "line in the sand" going into Monday's reports.

Funds & Positioning: Managed money remains net short -53,192 contracts in CBOT corn futures-only as of Dec 30, 2025 (Long 309,183 vs Short 362,375). That keeps positioning from being outright bullish, but it matters into Jan 12 because any surprise tightening in final yield or stocks can still force incremental short covering, especially if spreads/basis refuse to break.

Cash & Basis: Gulf basis remains the anchor for the front end. In your cash set, CIF Gulf sits near +82¢ over March and FOB Gulf near +106¢ over March, a structure that still reads as export replacement values holding together even as futures churn. Interior tone remains steady rather than defensive, which fits the message from the board: carry is present, but it hasn't been able to fully take control of nearby.

Export Sales & Inspections: The clean, verifiable signal this week is inspections. USDA's export inspections show corn inspections at 1.21 MMT for the week ended Jan 1, versus 877,219 MT the same week last year. On the sales side, the market is also watching whether the next weekly report confirms continued strength: USDA reported net corn sales of 756,400 MT for the week ended Dec 25, and 2025/26 commitments (sales + exports) at 1.99 bbu, up 30 percent y/y, important context for why the curve has stayed supported even without a weather scare.

International Trade / Competition: Global price competition hasn't disappeared, but near-term US export execution is doing enough to keep the market from slipping into a purely storage-driven structure. The other key international variable for January is less about "new" export business and more about what South America weather implies for late-Q1 and Q2 supply, especially Argentina corn during critical development stages. If South America stays broadly favorable, the market will likely need Monday's US reports to be the bullish catalyst; if Argentina turns meaningfully drier/hotter, that becomes a second path to tightening spreads and keeping funds from pressing shorts.

So What? Corn is acting like a market with quiet demand gravity: futures are stable-to-firmer, spreads are only paying partial carry, and inspections are still strong enough to keep Gulf values from cracking. The Jan 12 reports are the hinge, if final yield or Dec 1 stocks tighten the implied balance sheet, the market has room to react because managed money is still net short (futures-only) and the curve isn't "fully carried." If the reports lean neutral-to-bearish, the path of least resistance is not necessarily a collapse, it's more likely a drift lower with spreads doing the real signaling day-to-day.

Soybean Market Deep Dive

Pre-*WASDE* Positioning: The soybean story into Jan 12 remains split between soft shipment execution and renewed China headline demand. The base-case trade view is that USDA won't need to reinvent the US balance sheet unless it chooses to re-tilt demand between exports and crush in response to the slower export trajectory versus last year and the steadier processor pull. What changed this week is the tone around China: USDA daily flashes confirmed multiple soybean sales to China (including 336,000 MT on Jan 2), and market chatter has focused on whether state buying (Sinograin) is re-entering in size for spring shipment. The key pre-*WASDE* question remains the same, does USDA continue to defend exports, or lean more heavily on crush to keep demand intact as the marketing-year pace becomes harder to ignore?

Futures & Spreads: March '26 soybeans settled at $10.67/bu, up +5¢ w/w, but the path was choppy, more "headline-driven pop" than a clean trend. Structure is still doing most of the talking, the Mar/May carry sits at +11¢, about 50 percent of full carry, which reads as adequate nearby coverage rather than any front-end shortage. Farther out, the curve is sending a different signal: Jul ’26 vs Nov ’26 remains inverted by 12¢, keeping a weather-premium feel embedded in summer ownership even as the nearby stays commercially supplied

Products & Crush: Soybean products provided steady underlying support, with both meal and oil firming modestly on the week. The latest available **NOPA crush data (November)** printed **216.0 million bushels**, exceeding last year’s pace and reinforcing the view that domestic processing demand remains resilient despite slower export shipments. Crush margins remain positive and continue to incentivize run rates near capacity, keeping processor bids engaged across the interior. Into the January *WASDE*, this keeps **crush** as the most defensible demand line item, raising the question of whether USDA offsets any export caution by leaning more heavily on domestic processing rather than reducing total use.

Cash & Basis: Gulf signals were steady-to-softer but not weak: CIF NOLA is around +100¢ over Jan, while FOB Gulf is near +102¢ over Jan, consistent with a cash market that’s being supported by nearby logistics/friction and steady processor demand, but still lacking the kind of relentless export pull that would force a sharper basis surge. Brazil remains the reference competitor: Paranaguá Feb FOB indications (12¢/bu over March equivalent) keep the export program price-sensitive, especially if buyers can wait for South America.

Funds & Positioning: Managed money positioning remains a swing factor, but it’s not screaming “crowded long.” On a futures-only basis, managed money is net long +121,811 as of Dec 30, 2025 (long 203,843 vs short 82,032), which leaves room for additional buying if China buying persists and/or South American weather risk re-prices.

Export Sales & Inspections: Execution remains the constraint. US soybean export inspections totaled 0.98 MMT (36 mbu) for the latest week, bringing cumulative shipments to 16.40 MMT (603 mbu), still 45 percent below last year’s pace. Export sales have improved at the margin, net sales of 504k MT in the most recent report, but commitments remain insufficient to materially close the shipment gap. That’s why the Sinograin headline matters: it doesn’t fix execution overnight, but it reduces the “no-China” tail risk and helps explain why futures can firm even as the export tape remains heavy.

Policy / China Demand Context: This week’s soybean support came less from broad macro and more from a very specific demand narrative: state buying + a push to clear domestic inventory space (Sinograin auctions) to accommodate incoming US cargoes. If that state-led buying continues, it’s the cleanest path to a pre-*WASDE* repricing, because it attacks the market’s biggest doubt: whether US export demand can stabilize at all this season.

So What? The soybean board is still being supported more by crush and curve structure than by clean export execution. Nearby spreads only pay partial carry and the back end remains inverted, which keeps ownership from getting too comfortable even as shipments lag. The Sinograin headline matters because it reduces the “no-China” tail risk, but it does not repair the export math overnight, inspections remain well behind last year on a cumulative basis, and sales need sustained follow-through to change that. Into Jan 12, the market is effectively asking whether USDA defends exports or leans harder on crush to keep the balance sheet stable. Without repeatable China business or a weather premium, soybeans likely stay range-bound, with structure doing most of the signaling.

Wheat Market Deep Dive

Pre-*WASDE* Positioning: Ahead of Jan 12, the trade expects only marginal adjustments to the US wheat balance sheet, with attention centered on the "January bundle" reports (Grain Stocks + Winter Wheat Seedings) more than routine *WASDE* line edits. Execution has been respectable (shipments running ahead y/y), which keeps "exports could be revised up" on the list, but global competition remains the limiting factor. With funds still meaningfully short in CBOT wheat (futures-only), the market is more vulnerable to sharp rallies if seedings print lower or stocks come in tighter than expected, though any bullish reaction still faces a ceiling from ample Black Sea and Southern Hemisphere supply.

Futures & Spreads: CBOT March SRW wheat settled at $5.20/bu, up roughly 14¢ w/w, remaining range-bound despite recent short-covering attempts. The Mar/May SRW spread holds near +11¢ carry, roughly 40 percent of full commercial carry, signaling comfortable nearby availability without forcing full storage economics. KC HRW March closed near $5.28/bu, maintaining an 18¢ premium to SRW, while Minneapolis HRS March finished near $5.56/bu. Volatility remains muted, and open interest changes suggest the price action continues to be positioning-driven rather than fundamentally led. The curve structure still rewards storage and offers little indication of front-end tightness.

Cash & Basis: US wheat cash markets remain weak relative to global competition. SRW FOB Gulf values near $6.23/bu and HRW FOB Gulf near $6.56/bu keep US origin priced $15–25/MT above Black Sea offers, limiting competitiveness in major tenders. Interior basis has been largely unchanged, with HRW bids in Kansas and Oklahoma around 20–40¢ under March, and SRW river bids holding near 15–20¢ under. Protein premiums remain intact, but overall cash movement is slow as mills remain covered and export demand favors cheaper origins.

Export Sales & Inspections: Weekly US wheat export inspections totaled 183,000 MT (6.7 mbu), down w/w but still leaving marketing-year shipments near 15.263 MMT, roughly six percent ahead of last year's pace. While execution remains solid, new sales activity has slowed materially, and the US continues to miss major North African and Middle Eastern tenders dominated by Russian and EU wheat. Mexico and select Latin American destinations remain the most consistent buyers, but volumes are insufficient to materially shift the global balance. The market continues to distinguish between decent execution and weak forward demand.

Global Supply & Competition: Russia remains the dominant force in global wheat trade, with FOB offers near $229–233/MT, supported by a weak ruble and aggressive export pace. Australia's harvest has added additional exportable supply, while Argentina's record wheat crop (27–28 MMT) is flowing aggressively into Brazil and Asia. EU exports remain steady but unremarkable. Despite dryness concerns in parts of the US Plains, global supply remains ample, and no meaningful exporter is signaling restraint at this stage.

Funds & Positioning: Managed money remains heavily net short -70K contracts, with only modest short-covering observed recently. The size of the short leaves wheat vulnerable to brief rallies on headline risk, but without a structural tightening signal, those rallies continue to fade. Commercials remain opportunistic buyers at low price levels, but not aggressive enough to alter the broader market tone.

So What? Wheat remains a market supported by positioning rather than fundamentals. Spreads continue to encourage storage, cash markets show no tightening signal, and global competition remains intense. While US export execution has improved year-over-year, it has not translated into stronger forward demand or improved competitiveness. Unless winter wheat acreage surprises lower or Black Sea flows are disrupted, Chicago wheat is likely to remain range-bound, with rallies capped by global supply and weak export pricing power. The market is firming at the margins, but it is not tightening.

US Cash Market & Basis

Corn: River basis improved modestly this week amid stable water levels on the Lower Mississippi, though colder weather introduced some logistical caution. Illinois River bids firmed to –18¢ under March, up 2¢ w/w, while the Lower Miss held near –40¢ to –43¢ under with steady drafts and traffic. Spot freight from Cairo to Memphis eased to $19.00/ton, down slightly on quieter post-holiday movement. CIF Gulf basis strengthened to +82¢ over March, up 1¢, bolstered by robust export inspections and Mexican buying. FOB Gulf offers remained near +106¢ over March, reflecting solid replacement values. Processor bids in Iowa and Nebraska stayed firm at +12¢ to +18¢ over, supported by steady ethanol economics. National average corn basis was near –35¢ under, firmer by 3¢ on the week.

Soybeans: Processor bids in the Eastern Corn Belt held firm, aided by supportive crush margins and consistent soymeal pull. River basis was mostly steady where barge logistics improved on the Illinois and Lower Mississippi, but export demand from China stayed uneven despite recent flashes. CIF Gulf soybean basis slipped to +100¢ over January, down 2¢, amid better freight availability but softer new sales. FOB Gulf offers were near +102¢ over January, down 6¢ w/w. National average soybean basis hovered near –72¢ under the March futures equivalent, slightly firmer from last week.

Wheat: HRW and SRW FOB Gulf values stayed flat near $6.56/bu and $6.23/bu, respectively, with export basis unchanged amid quiet global tenders. Interior bids in Kansas and Oklahoma remained soft at –45¢ to –50¢ under March, influenced by storage incentives over spot consumption. Basis levels in the Southern Plains milling market were steady as January coverage held firm. Domestic demand from flour buyers was consistent but lacked fresh spot urgency, keeping interior values range-bound.

So What? Logistics remained stable with river levels supportive, allowing Gulf basis to hold firm in corn while soy and wheat faced global competitive pressure. Export flow anchored corn cash strength, processors provided the soy floor, and wheat stayed defensive without new demand catalysts. Basis tone in corn and soy indicates demand is absorbing nearby supply without excess pressure. Absent stronger China export confirmation or weather risks, domestic users will keep setting the nearby cash pace

International Cash & Trade Flows

Brazil: Brazil continues to lead global soybean and corn exports, with December loadings showing strength despite the onset of early harvest pressures. ANEC reported December soybean exports near 3.02 MMT, while corn paced around 6.35 MMT, both solid but reflecting a seasonal slowdown from peak months. FOB Santos soybean offers held near $422/MT ($11.49/bu), maintaining a competitive edge over US Gulf equivalents into China. Corn FOB values stayed firm around $222/MT ($5.64/bu), positioning Brazil as the preferred origin for Southeast Asia. Soybean harvest progressed to early stages in Mato Grosso, with estimates around 5-10 percent complete amid generally favorable but locally wet conditions that could delay logistics. Export corridors at Paranaguá and Santos remained efficient, with minimal congestion reported.

Argentina: Up-River FOB prices were steady: corn offered around $218/MT, while soymeal traded near $345/MT (47 percent protein basis), aligning with recent export trends. Farmer sales moderated post-election stability, but dryness in southern regions raised concerns for corn and soybean development during key growth phases. The Rosario Exchange noted corn crops in good condition overall, though moisture deficits persist in parts of Buenos Aires and La Pampa. The peso weakened further in parallel markets, with the unofficial rate near ARS 1,470/USD, adding to export incentives amid macro adjustments. Wheat harvest advanced to nearly 93 percent complete, with production expectations hitting a record 27.8 MMT under mostly dry conditions. Crushers maintained steady operations, drawing on accumulated stocks.

China: Import focus shifted toward US soybeans amid state-led buying, with recent purchases pushing totals near 10 MMT for the 2025/26 marketing year. US Gulf offers have remained generally less competitive than Brazilian nearby export values, but the recent USDA flashes signaled improving US traction for spring coverage. Crushers secured Q1 coverage via mixed origins, with confirmed US sales including 336,000 MT reported early January. Dalian Jan corn futures settled around ¥2,400/MT ($6.80/bu equivalent), above import parity but reflecting domestic supply pressures. Market discussions on long-term commitments (12 MMT in 2026 and beyond) continued, treated as directional amid tariff stability.

EU / Black Sea: Russian FOB wheat offers for 12.5 percent protein firmed to $228–233/MT, supported by reset export taxes and steady tender wins in Egypt and MENA. French wheat near $228/MT (Rouen) stayed on the sidelines, with recent tenders favoring Black Sea origins. Ukraine sustained corn exports via Danube and rail, with offers around $173–175/MT into Spain and Italy, up slightly on demand. EU grain stocks improved post-harvest, curbing import needs. Russian and Ukrainian soymeal undercut US offers into southern Europe, aided by freight and currency advantages.

Other Regions: Australia's harvest progressed strongly, with CBH receiving 23.5 MMT total (mostly wheat), setting receivals records amid improved yields and protein. Canada maintained steady spring wheat flows to Mexico and Asia. India stayed sidelined in global trade, with no policy changes. South Africa reported no significant shifts.

So What? US exporters face ongoing challenges into Asia and MENA as Brazil and Russia hold price advantages. China's pivot to US soybeans offers Gulf support, but execution lags. Argentina's dryness adds risk premium potential, though not yet disrupting flows. Until FOB differentials narrow or demand reallocates, US cash resilience will hinge on domestic pull and basis rather than global arbitrage.

Key Fundamentals & Reports (Dec 17 – Dec 30)

Crop Progress (USDA): No formal Crop Progress report is issued during winter, but state-level updates and private assessments pegged national winter wheat conditions near 52 percent good-to-excellent, up slightly from late December readings but still reflecting patchy dryness in the southern Plains. Emergence was effectively complete, with Kansas reporting 60 percent good-to-excellent (vs 47 percent last year) and Texas near 45 percent (improved w/w on scattered rains). Dryness in western Oklahoma and eastern Colorado kept some stands stressed, but overall ratings held steady without widespread winterkill risks in the forecast.

Export Inspections (USDA FGIS): Corn inspections hit 1.21 MMT (+8 percent w/w), outpacing last year's pace by 69 percent and pushing cumulative 2025/26 shipments to 885.5 mbu. Soybean inspections slipped to 0.98 MMT (–12 percent w/w), the softest in three weeks, underscoring slower China pull versus Brazil's ongoing flow. Wheat inspections totaled 183k MT (–27 percent w/w), focused on the Gulf but lagging seasonal averages. Overall, the data reinforces corn's export strength, soy's shipment lag, and wheat's mixed competitiveness.

Export Sales (USDA FAS): The next weekly Export Sales report (covering the week ended Jan 1) is due Jan 8, with the market watching whether holiday-delayed bookings surface. Daily sales flashes kept demand headlines active, including 336,000 MT of soybeans to China (Jan 2) and a 150,000 MT corn sale to Mexico (Jan 6). Outside of the China business, there have been no confirmed large soybean bookings, keeping attention on whether the upcoming sales report shows enough follow-through to influence USDA's export assumptions into the January *WASDE*.

Ethanol Production & Stocks (EIA): Ethanol output eased to 1.098 mbpd (–22,000 bpd w/w), reflecting post-holiday adjustments and steady blending rates. Stocks built to 23.652 million barrels (+708,000 w/w), consistent with seasonal patterns and no major disruptions. Implied corn grind hovered near 98 mbu, supported by stable margins and firm processor pull in the Western Corn Belt.

CFTC Positioning (latest available Disaggregated COT snapshot): Commitments of Traders (as of Dec 30, published Jan 2): Managed money held net short in corn (–53,192 contracts, little changed w/w) and wheat (–70,991 contracts, minor covering), while soybeans stayed net long (+121,811 contracts) after light additions. Open interest dipped modestly across the complex, signaling positioning was more about Jan 12 prep than aggressive bets. Without official surprises, the data keeps funds as a potential volatility amplifier if reports lean bullish, but not the primary driver.

NOPA Crush: No fresh data released in the window; the next monthly report (December) is due Jan 15. Private estimates for December point toward another solid print above 195 mbu, backed by strong crush economics and soymeal demand. Processor bids stayed active, confirming throughput remains a key offset to softer soy exports.

So What? Data this week was mostly confirmatory rather than game-changing: corn exports and ethanol use provide the supportive undercurrent, soybeans lean on flashes and crush to counter soft inspections, and wheat's execution stays decent but uninspiring. With no Crop Progress and the big USDA event looming, physical signals (Gulf basis, inspections) are doing the heavy lifting. If Jan 12 validates export upgrades or yield trims, funds have room to react; otherwise, the tone drifts neutral with South America weather as the wildcard.

International Reports

Brazil: ANEC's early-January lineup data pegged soybean exports tracking around 2.8 MMT for the month so far and corn near 5.2 MMT, in line with seasonal wind-down for old-crop soy but still reflecting solid safrinha movement. FOB Santos soybeans were quoted near $422/MT ($11.49/bu), holding a competitive $10/MT edge over US Gulf into Asian markets, while corn offers around $222/MT ($5.64/bu) kept Brazil leading feed grain flows. Mato Grosso soybean harvest pushed to about 8 percent complete by Jan 5, helped by generally supportive rains but with pockets of excess moisture slowing logistics in northern regions. CONAB held off on a fresh bulletin this week, though trade sources anticipate a slight bump to 2025/26 soybean output in the upcoming release. Port operations at Santos and Paranaguá stayed efficient, without notable backups despite early wet-harvest chatter.

Argentina: The Buenos Aires Grain Exchange noted wheat harvest nearing 93 percent done as of Dec 30, lifting its production outlook to 27.7 MMT amid favorable late-season conditions in key zones. Soybean planting advanced to 82 percent complete, with crops mostly in good shape but dryness building in southern areas, while corn development held steady without major revisions. MAGyP's latest weekly confirmed planting stability but flagged emerging moisture deficits in Buenos Aires and La Pampa. Up-River FOB corn indications sat near $218/MT, soymeal around $345/MT, both unchanged w/w. The peso slipped to about 1,470 per USD in informal channels, bolstering export edges amid ongoing macro tweaks. Farmer forward sales picked up modestly post-holidays, with crushers tapping into earlier stockpiles from incentive programs.

China: Amid renewed state-led US soybean purchases, CNGOIC's early-January grain update highlighted steady feed consumption but emphasized plans to boost domestic soybean capacity, with total grain feed/residual use seen near 287 MMT for 2025/26. No fresh tariff shifts were announced, but crushers leaned into US origins for Q1–Q2 coverage, with bookings approaching 10 MMT ytd. Dalian Jan corn futures closed around ¥2,400/MT ($6.80/bu eq), soybeans near ¥4,850/MT, and soymeal ¥3,200/MT, all firmer on the week amid import momentum. MARA and Customs issued no new reserve or import directives in the period, though market buzz around long-term commitments (up to 25 MMT+ through 2028) kept demand sentiment afloat without firm confirmations.

EU / Black Sea: Russian 12.5 percent wheat FOB offers edged to $228–233/MT (+1 w/w) following a duty cut to 97.3 RUB/ton from Jan 12, with further zeroing eyed mid-month, aiding tender wins in MENA and beyond. Ukrainian corn offers via Danube held near $173–175/MT, finding takers in EU southern ports. FranceAgriMer trimmed its 2025/26 soft wheat export forecast outside the EU to 7.6 MMT but noted stable winter cereal conditions, with French wheat ratings around 68 percent good-to-excellent.

So What? Worldwide flows are still led by Brazil's corn/soy strength and Russia's wheat edge, with Argentina's dryness injecting some yield uncertainty but not yet derailing competitiveness via currency plays. China's US bean pick-up offers a demand lifeline without fully closing FOB gaps. Absent new global revisions or logistics snags, international prices key off exporter rivalry more than tightness. Next movers likely tie to Argentina's mid-Jan rain (or lack thereof) and China's follow-on buying, which could either underpin US basis firmness or let seasonal pressure creep in ahead of *WASDE*.

Weather & Crop Conditions

United States
With no formal Crop Progress reports in winter, private and state assessments indicate winter wheat conditions broadly steady, with national ratings near 40 percent good-to-excellent. Kansas remains relatively strong near 60 percent G/E, while Texas sits closer to 45 percent after scattered showers. Dryness persists in western Kansas and Oklahoma, where recent rainfall remains 15–30 mm below normal, and warmer-than-seasonal temperatures have limited soil recharge despite low winterkill risk.

The Mississippi River system stabilized post-holidays, with modest gauge improvements at Memphis and Baton Rouge supporting more normal barge drafts. Freight rates on the Cairo–Memphis stretch eased toward $19/ton, though levels remain below seasonal averages and logistics margins elevated. Looking ahead, NOAA's 6–10 day outlook favors above-normal temperatures and below-normal precipitation across much of the Plains and Midwest, suggesting continued river support but ongoing dryness risk in HRW areas.

Brazil
Rains picked up in the Center-West over the week, boosting early harvest and easing logistics in core zones. IMEA estimates show Mato Grosso harvest around eight percent complete as of Jan 5, with scattered showers of 20–50 mm providing relief but creating wet spots in northern areas that could slow trucking. Forecast models from INMET and NOAA point to more precipitation through mid-January, with 40–70 mm expected in central Brazil, sufficient to maintain crop momentum if consistent. Southern states (Paraná, Rio Grande do Sul) remained mostly favorable after earlier wetness, supporting vegetative stages without major stress.

Argentina
Dryness intensified in southern provinces, with BCBA flagging moisture shortfalls in Buenos Aires and La Pampa that could start impacting soybean and corn yields during pod-set. Wheat harvest pushed to nearly 93 percent complete under mostly dry skies, locking in strong output near 27 MMT. Forecasts indicate limited thunderstorms in central and northern zones, with 15–30 mm possible through mid-month, but southern dryness may persist. No widespread crop deterioration was reported yet, but risks are building.

Global
In the Northern Hemisphere, winter wheat establishment advanced without major issues. Russia and Ukraine noted typical emergence under mild fall temps, with stable soils. Europe saw steady progress, as FranceAgriMer held French wheat ratings near 68 percent good-to-excellent, and Germany/Poland benefited from adequate moisture for stands. Australia's harvest wrapped up mixed, with persistent dryness in Western Australia capping yields, while New South Wales and Queensland got timely rains improving quality but not totals. No notable disruptions hit India, South Africa, or Canada.

So What?
US winter wheat is in decent shape with low winterkill odds, but dryness in the Plains keeps recharge in focus. Stabilized rivers have eased export flow without slashing freight, though costs linger high, limiting basis upside. Brazil's rain recovery is the core global driver: harvest is underway, but steady moisture is key to firming yield outlooks. Argentina's emerging dryness adds a risk layer, while Russia, the EU, and Australia stay supportive overall, making South America's mid-Jan weather the main swing factor for oilseed and grain pricing.

Synthesis & Outlook

The first week of January brought the grain complex into a classic pre-*WASDE* holding pattern, with USDA's "January bundle" looming and physical signals doing the interim work amid light holiday trading. After months of leaning on inspections, basis, and flashes for direction, the market now awaits official tweaks that could endorse or challenge the export-led tone in corn and the crush/export split in soy. Futures chopped in tight ranges through Friday, March corn near $4.45/bu, March soybeans at $10.67/bu, and March Chicago wheat around $5.20/bu, as positioning stayed cautious ahead of the data dump. Spreads held supported but not tight, with corn Mar/May at about 50% of full carry, soybeans Mar/May near 50%, and wheat Mar/May close to 40%. Gulf basis firmed in corn, processors kept soy bids engaged, and volatility stayed low.

The vibe was one of quiet anticipation, with traders prepping for potential balance-sheet shifts without committing big. Speculative activity was subdued, as managed money held net short in corn (around -53k contracts) and wheat (near –71k), while adding lightly to soy longs (roughly +122k). CME open interest ticked lower but reflected a commercially driven market focused on rolls and hedging over outright bets. The resumption of full data flow sharpens visibility, but it also amps up risk: after drawing on inferred demand from Gulf values, ethanol, and China headlines, the complex will recalibrate to quantifiable numbers. If *WASDE* backs export upgrades or yield trims, the recent firmness could evolve into conviction; if it underscores global supply, the stability may reveal itself as fragile.

Globally, Brazil held export dominance in soybeans and corn, with Russia steering wheat trade. Santos soybeans quoted near $422/MT ($11.49/bu), about $10 under US Gulf, and corn FOB around $222/MT. Early Mato Grosso harvest hit 8 percent, with rains aiding but subsoils still thin. Argentina stayed competitive via currency weakness, with wheat output near record 27 MMT. Russian 12.5 percent wheat offers firmed to $228–233/MT without slowing tenders, and China's state buying pushed US soy purchases toward 10 MMT. The world sheet thus remains ample, but with Argentina dryness brewing and eyes on US reports, the tone moved from post-harvest drift to watchful prep.

Bullish triggers: The upside hinges on *WASDE* affirming US demand strength. Robust inspections, steady Gulf basis, and ethanol output above 1.1 mbpd could support corn export hikes, slimming carryout modestly. For soy, crush upgrades plus persistent China flashes (near 10 MMT bought) could offset soft shipments, especially if Brazil/Argentina weather slips, lifting spreads and pushing March futures toward the mid-$10.60s. Wheat could extend if seedings surprise low or Russian duties constrain flow, fueling short-covering. With funds short in corn/wheat and vol muted, even mild bullish leans might spark sharp moves.

Bearish triggers: Downside looms if *WASDE* highlights abundance and static demand. Holding corn exports flat, sticking with big South American crops, or bumping world stocks could widen carries. In soy, fading China momentum amid Brazil's harvest pressure might refocus on global oversupply and soften Gulf values. Wheat stays exposed if Russia keeps undercutting tenders, sidelining US offers. That path could drag futures to range bottoms, with corn near $4.35, soy around $10.45, and wheat back to the $5.00s. Watchlist (Jan 8 – Jan 14): USDA January reports (Jan 12): *WASDE* tweaks, final 2025 yields, Dec 1 stocks, winter wheat seedings Export sales catch-up (Jan 8) and any new flashes to China or Mexico Argentina dryness updates in Buenos Aires/La Pampa and mid-Jan rain verification Gulf basis/logistics flow and barge freight follow-through Russia/Black Sea tender pace, EU competitiveness, and BRL/USD shifts

In summary: With the big USDA event front and center, the grain market is pausing after a demand-stabilized close to 2025, ready for data to either confirm or upend the narrative. Corn holds the steadiest footing via exports and ethanol, soy balances crush against shipment lags, and wheat's firmness leans more positional than fundamental. The next days will test if those underpinnings endure or shift under fresh intel. For the moment, the complex sits poised but patient, eyeing validation of recent hints.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to $3.90 a bushel. Most importantly, 202526 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.